



CLOUD9

RECHARGE - RESET - RELAX

CLOUD9

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DESCRIPTION OF BUSINESS

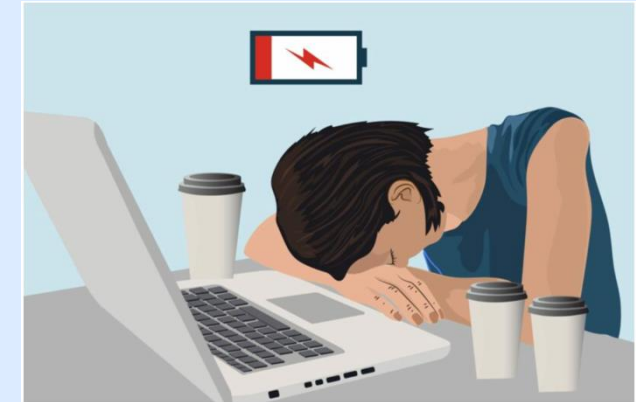
Sleeping/Rest Pods

- This business would offer sleeping/rest pods for students.
- These pods would be strategically placed around campus in buildings where commuters or students who travel between different campuses.
- Students would be able to reserve these pods to get some rest between/after classes.

CUSTOMER VALUE PROPOSITION

Our value to students is helping reduce fatigue and providing a safe place to rest between classes.

- Current options for commuter students include cars, overcrowded libraries, or dining halls, none of which are designed for proper rest.
- Because Rutgers has multiple campuses, students often have long gaps between classes and may not want to travel back home or to their dorm just to rest.
- Sleeping pods would give students a convenient place on campus to rest during these breaks instead of leaving and returning later.
- The pods provide a private and secure space where students can relax without worrying about loud environments or their belongings being stolen.
- Our CVP is strong because sleeping pods do not currently exist at Rutgers, meaning there is no direct competition.
- With Rutgers having a large commuter population, this service would address an unmet need and offer clear benefits to many students.



VISION, MISSION & CORE VALUES

VISION STATEMENT

“To provide a space where students can easily find rest and relaxation wherever they go.”

MISSION STATEMENT

To support college students with secure, reservable rest and study pods across campus, providing quiet, private spaces that reduce fatigue, improve focus, and help students stay productive.

STATEMENT OF CORE VALUES

Our mission is to serve college students by offering **secure, reservable rest/study pods** strategically located across campus. We provide a quiet, private, and safe environment designed specifically for meaningful rest, helping students reduce fatigue, **improve focus, and maintain productivity** throughout the day. We strive to provide high-quality and convenient rest pods for students offering them a **restful and rejuvenating break so they can continue to succeed every day.**

FINANCIAL & STRATEGIC OBJECTIVES

FINANCIAL OBJECTIVES:

- 1) Achieve a positive net cash flow by the end of the second or third year of operation.
- 2) Raise \$100,000 in equity financing by the end of the first year of operation.
- 3) Reach a net profit margin of at least 10% preferably by the end of the second year of operation.



STRATEGIC OBJECTIVES:

- 1) Install and operate at least 20 fully functional sleep/study pods across campus locations within the first 18 months of operation.
- 2) Achieve a customer satisfaction rating of at least 4.5 out of 5 based on student surveys within the first year of operation.
- 3) Enroll at least 1,000 unique student users within the first academic year, with at least 40% becoming repeat users.

CORPORATE SOCIAL RESPONSIBILITY INITIATIVES

Sustainable Sourcing

We will prioritize sourcing materials and products from suppliers who follow environmentally sustainable practices. This will help reduce our environmental impact and support ethical labor practices.

Student Safety and Accessibility

Safety and accessibility are critical expectations for students, parents, and university administrators. Good security, good lighting, and safety around the pod are paramount. Prioritizing these features demonstrates a commitment to student wellbeing, reduces liability risks, and builds trust with campus stakeholders. This will be our #1 drive to gain market share.

Student Mental Health & Wellness Partnership Program

Safety and accessibility are critical expectations for students, parents, and university administrators. Good security, good lighting, and safety around the pod are paramount. Prioritizing these features demonstrates a commitment to student wellbeing, reduces liability risks, and builds trust with campus stakeholders. This will be our #1 drive to gain market share.

DESCRIPTION OF NEW PRODUCT

NEW PRODUCT: Care Kit

Our team selected a “Care Kit.” This would be an add-on purchase that would include soft blankets, pillows, eye masks, and fuzzy socks. Students can either rent the kit for their reserved pod time or purchase their own kit for personal use. This increases revenue per customer and makes the overall experience better.

NATIONAL EXPANSION

Decision: **Yes**, Cloud 9 will nationally expand.

- Opportunity to establish Cloud9 as the leading campus rest brand
- Cloud9 can expand to serve millions of college students nationwide.
- The demand for these pods is likely to be high not only at Rutgers but other places as well
- Addresses a lot of needs that remain unmet for college students nationwide.
- First-mover advantage before competitors enter the market

Approach: **Raise Capital**

- Because Cloud9's success depends heavily on safety, cleanliness, and customer trust, maintaining control is essential.
- Expanding independently allows Cloud9 to build a strong and reliable brand before potentially franchising in the future.



INTERNATIONAL EXPANSION

Choice for expansion: **Canada**

- Canada is a strong first market because it's very similar to the U.S., which lowers risk and makes expansion easier.
- Close location and similar student needs make operations smoother and ensure demand.



Opportunities

- Canada is the best country for Cloud9's first international expansion
- Canada is a strong first market because it's very similar to the U.S., which lowers risk and makes expansion easier.
- Close location and similar student needs make operations smoother and ensure demand.

Challenges

- Strict safety regulations
- Bilingual in some regions (Quebec)
- Cold climate may affect campus usage patterns
- Construction and real estate costs in major cities can be high (especially in Montreal, Vancouver, Toronto)
- Regulatory requirements may vary by province, requiring careful compliance planning.

EXPANSION & ENTRY STRATEGY

JOB DESCRIPTIONS & RECRUITING

EMPLOYEE MOTIVATION INITIATIVES

- **Performance-Based Incentives:** Implement quarterly bonuses tied to measurable goals such as customer satisfaction ratings, pod cleanliness scores, and reservation utilization rates.
- **Employee Recognition Program:** Launch a “Cloud9 Star Employee of the Month” recognition program. Employees who demonstrate strong customer service, teamwork, or innovation will receive public recognition and a small financial or gift card reward.
- **Employee Feedback:** Create a structured monthly team meeting and anonymous suggestion system where employees can share concerns and ideas. Giving employees a voice increases psychological ownership and motivation.
- **Career Development:** Provide skill development workshops, leadership training for pod attendants interested in management, and mentorship from senior team members.
- **Flexible Scheduling:** Offer flexible shift scheduling for part-time employees (especially student workers). Allow shift swapping and accommodate academic schedules when possible.



ANNOUNCEMENT OF DEPARTURE OF TWO EMPLOYEES

Dear Cloud9 Team,

I want to inform you that two of our team members have decided to resign from their positions, effective immediately. While we respect their decision and appreciate their contributions to Cloud9, we also recognize that their departure signals that we need to strengthen how we support and motivate our team.

As leaders, we take full responsibility for ensuring Cloud9 is not only a great service for students but also a great place to work. Over the coming weeks, we will be implementing several new initiatives designed to better support you, including:

- A performance-based incentive program
- An employee recognition program
- Expanded training and development opportunities
- Monthly team feedback sessions
- Increased flexibility in scheduling

Your dedication directly impacts the student experience and the success of our mission. We value your contributions and are committed to building a work environment where you feel appreciated, supported, and motivated.

If you have ideas or concerns, my door is always open. Thank you for your continued hard work and commitment to Cloud9.

Sincerely,

Cloud9 Management Team



ACTIONS FOR EMPLOYEE ENGAGEMENT

- 1) Clearly communicate the mission of the company (helping people study and rest effectively) so employees understand the purpose of their work.
- 2) Provide flexible scheduling for student employees who may also be attending school.
- 3) Train managers to build stronger relationships with employees and support their growth and wellbeing.
- 4) Recognize and reward employees who demonstrate behaviors that support the company's mission and values.



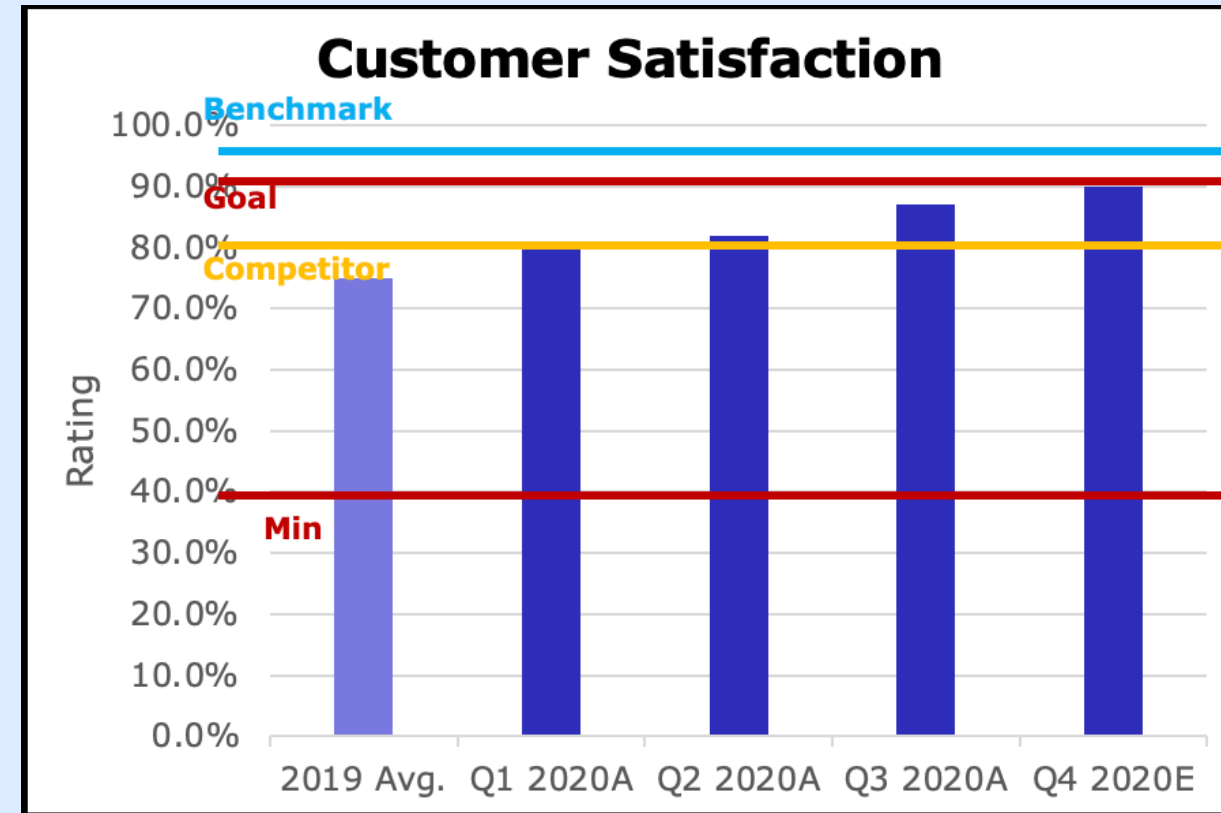
SIPOC FOR KEY PROCESS

Suppliers	Inputs	Process	Outputs	Customers
Pod manufacturers Software providers Cleaning vendors Staff Reservation system provider	Pods Booking system Staff Cleaning Supplies	Customer books online Payment processed Customer checks in Pod is assigned Customer uses pod Cleaning/reset after use	Reserved pod session Comfortable environment Quiet/private study or sleep experience	Who: Students, professionals, etc. Desired behavior: Repeat usage, positive reviews, referrals Requirement: Clean pods, quiet, easy booking, affordable price

EFFECTIVENESS MEASUREMENT

Measure: Customer Satisfaction Score (%)

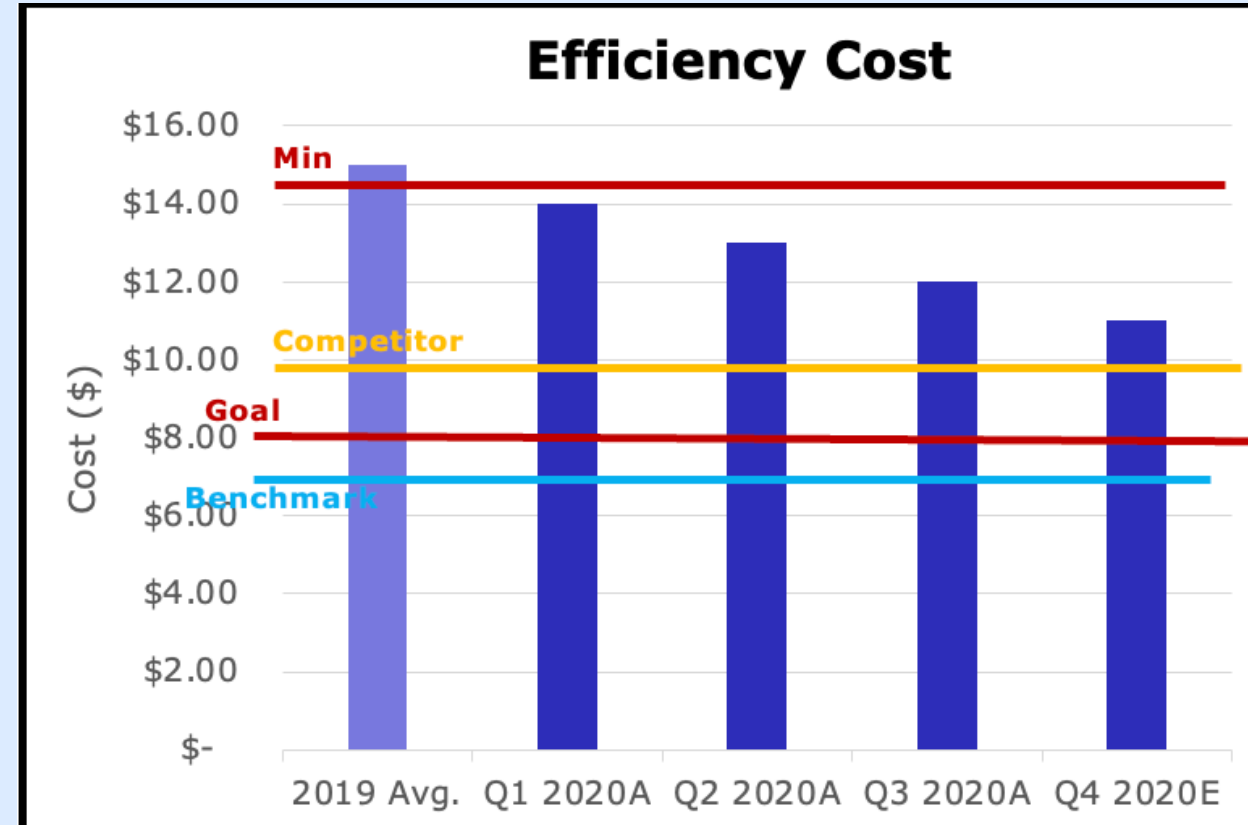
- **Goal:** 90%+ satisfaction
- **Current Performance:** 90%
- **Prior Period:** 75%
- **Competitor:** 80%
- **Benchmark:** 95%
- **Minimum:** 40%
- **Status:** Meeting Goal
- **Comments:** Customer satisfaction improved each quarter due to better cleaning protocols and easier app booking. Performance exceeds competitors and meets benchmark expectations.
- **Owner:** Team 41
- **Updated:** March 2026
- **Project:** Customer Satisfaction
- **Impact:** Increase satisfaction by 10% vs prior year



EFFICIENCY MEASUREMENT

Measure: Cost in (\$)

- **Goal:** \$8
- **Current Performance:** \$11
- **Prior Period:** \$12
- **Competitor:** \$10
- **Benchmark:** \$7
- **Minimum:** \$14
- **Performance Status:** Needs Improvement
- **Comments:** Needs improvement in bringing the cost lower to the level of current competitors and capturing more market share to be more competitive.
- **Owner:** Team 41
- **Updated:** March 2026
- **Project:** Efficiency Cost
- **Impact:** Lower cost by \$2 by the next quarter



DESCRIPTION OF IMPROVEMENT INITIATIVE

Improving Efficiency

Current Performance:

- The current efficiency cost is \$11, based on the recent quarterly performance data.
- While the cost has improved over time going from \$15 to \$11, it hasn't met the goal of \$8 just yet.
 - Current cost per session: **\$11**
 - Improved from **\$15** → **\$11**
 - Benchmark → **\$7**

Targeted Performance:

- Reduce cost per session to **\$9 or lower**. Achieve this by next quarter which brings the company closer to achieving its goal.

Description of Improvement Initiative:

- The improvement initiative will integrate the Care Kit add-on into the existing booking process, allowing customers to select and purchase or rent a Care Kit during their reservation.
- Operational changes will include standardizing the preparation, distribution, cleaning, and restocking of Care Kits to improve efficiency and reduce waste.
- This initiative will enhance the existing service by increasing customer comfort and improving the overall pod experience.
- It is expected to encourage repeat usage while also lowering operating costs through better inventory management and more streamlined processes.

WHETHER TO SELL OR NOT & WHY

Decision: Do **NOT** sell

Rationale:

- Even though the offer is extremely attractive financially, selling Cloud 9 would come with major **downsides** including:
 - The potential buyers have little experience running a business like this and are mostly interested in personal reasons, which creates risk for the company's future.
 - Many employees, especially in the U.S., could lose their jobs even though they helped build Cloud 9 into what it is today.
 - The new owners might not maintain the same quality or mission, which could harm customers and damage the brand.
 - Since Cloud 9 is already successful and has strong growth potential in college markets, keeping ownership allows us to continue expanding while staying true to our mission of improving student wellness.

SUMMARY OF WHY CLOUD 9 HAS BEEN SUCCESSFUL